

Procure Space ETF

SPCX NASDAQ

Hold	\$134.00 ▼ 4.05%	12M Price Target \$145.00	52-Week Range \$104.83 – \$225.64	Market Cap \$1.77T
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SPCX: Space ETF Dragged Down by SpaceX Unlock Selling

WHAT HAPPENED

- SPCX got hit for 4% today and about 8% off last week's highs — the culprit is SpaceX (the ETF's biggest holding via private shares). Another employee share unlock hit the secondary market, meaning insiders can now sell, which floods supply and pressures the price.
- A fresh sell rating on SpaceX suggesting 25% downside piled on, and separately, China announced progress on a new heavy-lift rocket — reminding investors that the US isn't the only game in town.

WHY IT MATTERS

Here's the thing: SPCX isn't really trading on fundamentals right now — it's trading on the marked-to-market value of SpaceX shares, which just got flooded with new supply from an employee tender. That's a technical selloff, not a business story, which usually means it's a buyable dip UNLESS the SpaceX valuation itself is reset lower. The bigger signal to watch is whether that Barron's-cited 25% downside call reflects real IPO-comp compression (Anthropic filing to go public is dragging every "unicorn" comp lower) or just one analyst's take. Bottom line: the space THEME is intact — government contracts, satellite buildout, defense — but the ETF's near-term price is being whipped around by one holding's private-market plumbing.

POLICY & POLITICAL WATCH

The FY2027 defense authorization bill is winding through Congress with Space Force funding proposed up roughly 13% — that's a direct tailwind for SPCX's defense-heavy holdings (Rocket Lab, Iridium, L3Harris exposure). Also watch the NASA Artemis budget reconciliation: the White House has signaled a lean toward commercial partners over legacy contractors, which is bullish for SpaceX and Rocket Lab. The wildcard is ITAR export rules — any tightening on satellite tech exports (in response to China's rocket progress) could squeeze the smaller sat-comms names in the ETF.

IS IT EXPENSIVE?

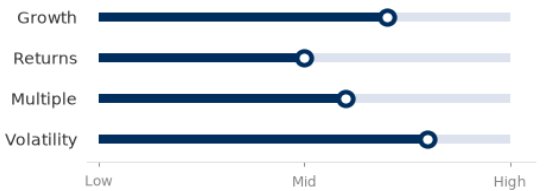
SPCX trades at roughly the midpoint of its 52-week range but well off the \$225 high — you're paying for a growth theme where most holdings aren't yet profitable, so traditional P/E doesn't apply. Think of it as paying for optionality on a decade-long space buildout, with SpaceX as the anchor. It's not "cheap" but the pullback has taken some froth out — if SpaceX's private valuation holds around \$400B, the ETF has support here.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$134.00
12M Price Target	\$145.00
Upside / (Downside)	+8.2%
Market Cap	\$1.77T
FY2026E Revenue	—
FY2027E Revenue	—
FY2026E EPS	N/M
FY2027E EPS	N/M
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$145.00	\$135.00	\$120.00
6 Months	\$165.00	\$145.00	\$115.00
1 Year	\$190.00	\$155.00	\$110.00
2 Years	\$230.00	\$175.00	\$100.00
5 Years	\$320.00	\$230.00	\$130.00
10 Years	\$500.00	\$350.00	\$150.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+4.4% this week) as oil catches a bid on Middle East tensions and expected winter demand. Defense-adjacent names are quietly strong on budget expectations.

COOLING OFF: Tech (-4% weekly) — mega-cap AI is exhaling after a huge run, and that's dragging space/growth names with it. Comm Services also weak.

ROTATION WATCH: Money is rotating out of high-multiple growth (tech, space, AI unicorns) into hard assets and energy. That's a headwind for SPCX until the growth trade regains footing.

RELATED PLAY: If you want space exposure without the SpaceX private-share drama, look at ITA (defense ETF) or a direct name like Rocket Lab (RKLB) — cleaner exposure to the same government spending tailwind.

WHO'S WINNING IN THIS SPACE?

- RKLB (Rocket Lab): Neutron rocket progress and steady government contract wins — pure-play space without the private-market noise.
- LHX (L3Harris): Defense-space contractor benefiting directly from Space Force budget expansion.

SPCX CONTEXT: SPCX is lagging its diversified defense peers right now because it's over-indexed to SpaceX, which is caught up in unlock-driven selling. That tells me the weakness is holding-specific, not thematic — the space story is fine, this ETF just has a concentration problem playing out.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the multi-year space theme but the near-term is messy because of SpaceX unlock dynamics I can't fully predict.

POSITION SIZE: 2-4% of portfolio — this is a thematic bet, not a core holding, and volatility is high enough that you don't want to overdo it.

ENTRY POINTS: I'd start scaling in around \$125-130 if the selling continues, and add aggressively only if it touches the \$115-120 area on a broader market flush.

TIME HORIZON: 12-24 months — the real catalyst is SpaceX filing for IPO, which would remove the private-mark overhang and probably re-rate the whole ETF higher.

WHEN TO BAIL: If SpaceX gets marked down in a tender offer, or if the Space Force budget increase gets gutted in Congress — those are the two thesis-breakers.

HEDGING: Keep some dry powder to buy dips, and consider pairing with a defense ETF like ITA which gives you the same government-spending tailwind without the private-share whiplash.